Samsung Electronics (005930 KS)

A longer cycle matters more than slowing memory price hikes

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BUY (M)

Target price	W630,000 (Up)
Previous target price	W530,000
Current price (Sep 22)	W276,500
Upside potential	128%

Market cap (Wbn)	1,616,496
Shares outstanding	6,648,649,811
Avg daily T/O (2M, Wbn)	6,567
Avg daily volume (2M, shrs)	25,018,656
52-week high/low (won)	362,500 / 83,300
Foreign ownership (%)	46.55%
Dividend yield (%)	1.39%
Major shareholders	Samsung Life Insurance & others

Stock performance

(%)	1M	3M	12M
Absolute	(1.8)	(21.8)	231.1
Relative	(3.2)	1.6	63.7
Abs (US$)	0.3	(11.5)	239.5

3Q26 OP estimated at W100tn

We estimate 3Q26 OP for the Device Solutions (DS) division at W100tn (OPM 67.4%, +1,538.5% YoY, +14.5% QoQ). Assuming a USD/KRW rate of W1,380, memory business OP will likely come to W102tn and non-memory to -W2tn. 1) Amid continued memory semiconductor price hikes, quarterly average price gains for DRAM and NAND will likely come to +18.0% and +16.0%, respectively, given impacts from full-scale sales of HBM4. 2) Meanwhile, non-memory semiconductor business will likely remain in loss. However, stripping out provisions for special incentives, it seems that the non-memory operating loss is narrowing meaningfully on improving foundry utilization centered on advanced nodes.

Samsung Display (SDC) will likely post 3Q26 OP of W1.1tn (OPM 13.0%, -9.6% YoY, +54.9% QoQ).1) Strong sales of foldable smartphones to the key domestic client are likely supporting the business's top-line growth. 2) Profitability is expected to decline by approximately 2%p YoY due to depreciation expenses associated with the start of mass production at the Generation 8.6 IT OLED panel line, estimated at around W0.3tn, and downward pricing pressure from North American customers. We forecast the DX division to post an operating loss of W1.1tn (turning to a loss YoY and remaining in the red QoQ), as the cost burden from memory semiconductors and other IT components has increased QoQ. We estimate operating loss at W0.9tn for the Mobile eXperience (MX) business and W0.2tn for the Visual Display (VD)/Digital Appliances (DA) business.

Maintain BUY; revise up target price to W630,000

Although memory price gains are likely to moderate somewhat, we highlight that supply-demand conditions should remain tight through 2027-2028. 1) The market is concerned about a potential peak-out in 2028 due to new capacity additions and HBM-related uncertainties. However, HBM's displacement of conventional DRAM capacity and growing demand for high-capacity memory driven by the spread of AI inference suggest that supply constraints may take longer than expected to ease. 2) If the memory upcycle is prolonged, Samsung Electronics' FCF could expand structurally compared with previous cycles. This raises the possibility that the company will announce a more shareholder-friendly return policy for 2027-2029, scheduled to be unveiled in January 2027. Following an upward revision to our 2027 earnings estimates, we revise up our target price to W630,000, based on 2027E BPS and a target P/B of 3.5x. Any share-price correction driven by peak-out concerns should be viewed as a buying opportunity from a mid- to long-term perspective.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	212,192	146.6	23.7	204,952	3.5
OP	99,860	720.8	11.6	111,818	-10.7
Pre-tax net profit	102,604	657.5	8.6	116,692	-12.1
Net profit, CI	76,572	537.8	7.4	94,431	-18.9
OPM (%)	47.1	+33.0 %pt	-5.1 %pt	54.6	-7.5 %pt
NPM (%)	36.1	+22.1 %pt	-5.5 %pt	46.1	-10.0 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	300,871	333,606	745,987	1,193,508
OP	32,726	43,601	358,485	590,492
Net profit, CI	33,621	44,261	281,223	428,440
P/E (x)	13.2	9.9	5.8	3.8
P/B (x)	1.2	1.1	2.4	1.5
EV/EBITDA (x)	5.2	4.2	3.6	1.7
ROE (%)	9.0	10.8	48.0	44.5

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Samsung Electronics: earnings forecast **(Wbn)**

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2024	2025	2026E
Sales	**Total**	**79,141**	**74,566**	**86,062**	**93,837**	**133,873**	**171,499**	**212,192**	**228,423**	**300,871**	**333,606**	**745,987**
	YoY	10.0%	0.7%	8.8%	23.8%	69.16%	130.00%	146.56%	143.42%	16.20%	10.88%	123.61%
	QoQ	4.4%	-5.8%	15.4%	9.0%	42.67%	28.11%	23.73%	7.65%	-	-	-
Gross profit	Total	28,131	25,497	33,492	44,251	81,913	119,301	142,168	159,896	114,309	131,370	503,278
	(% of sales)	35.5%	34.2%	38.9%	47.2%	61.19%	69.56%	67.00%	70.00%	37.99%	39.38%	67.46%
Operating profit	**Total**	**6,685**	**4,676**	**12,166**	**20,074**	**57,233**	**89,492**	**99,860**	**111,900**	**32,726**	**43,601**	**358,485**
	(% of sales)	8.4%	6.3%	14.1%	21.4%	42.75%	52.18%	47.06%	48.99%	10.88%	13.07%	48.06%
	YoY	1.2%	-55.2%	32.5%	209.2%	756.10%	1813.84	720.81%	457.45%	398.34%	33.23%	722.19%
	QoQ	3.0%	-30.1%	160.2%	65.0%	185.11%	56.37%	11.58%	12.06%	-	-	-
Net profit	**Total**	**8,223**	**5,116**	**12,226**	**19,642**	**47,225**	**71,624**	**76,953**	**86,710**	**34,451**	**45,207**	**282,513**
	(% of sales)	10.4%	6.9%	14.2%	20.9%	35.28%	41.76%	36.27%	37.96%	11.45%	13.55%	37.87%
	YoY	21.7%	-48.0%	21.0%	153.3%	474.32%	1299.89	529.43%	341.46%	122.45%	31.22%	524.93%
	QoQ	6.0%	-37.8%	139.0%	60.7%	140.43%	51.67%	7.44%	12.68%	-	-	-
Semiconductor	Sales	26,055	28,584	33,092	44,000	81,700	131,466	148,414	166,292	112,842	131,731	527,872
	YoY	11.3%	-1.4%	12.3%	42.0%	213.6%	359.9%	348.5%	277.9%	71.1%	16.7%	300.7%
	QoQ	-15.9%	9.7%	15.8%	33.0%	85.7%	60.9%	12.9%	12.0%	-	-	-
	OP	1,082	384	6,103	14,894	52,071	87,363	99,998	111,756	15,155	22,464	351,188
	OPM%	4.2%	1.3%	18.4%	33.8%	63.7%	66.5%	67.4%	67.2%	13.4%	17.1%	66.5%
	YoY	-44.4%	-94.0%	60.7%	396.7%	4710.3%	22624.8	1538.5%	650.4%	-204.0%	48.2%	1463.4%
	QoQ	-63.9%	-64.5%	1487.5%	144.0%	249.6%	67.8%	14.5%	11.8%	-	-	-
DRAM	Sales	13,282	14,262	18,152	28,076	54,804	87,308	98,573	108,692	53,789	73,772	349,376
	YoY	27.4%	6.0%	28.4%	77.9%	312.6%	512.2%	443.1%	287.1%	101.7%	37.1%	373.6%
	QoQ	-15.8%	7.4%	27.3%	54.7%	95.2%	59.3%	12.9%	10.3%	-	-	-
Bit shipments	*QoQ*	*2.0%*	*11.0%*	*14.0%*	*5.0%*	*0.1%*	*10.0%*	*4.0%*	*1.0%*	-	-	-
ASP	*QoQ*	*-20.0%*	*2.0%*	*14.0%*	*38.0%*	*95.0%*	*40.0%*	*18.0%*	*8.0%*	-	-	-
	OP	3,666	3,494	6,412	14,153	42,885	68,238	76,574	83,657	14,734	27,724	271,354
	OPM (%)	27.6%	24.5%	35.3%	50.4%	78.3%	78.2%	77.7%	77.0%	27.4%	37.6%	77.7%
	YoY	90.1%	-21.3%	76.5%	199.0%	1069.8%	1852.9%	1094.3%	491.1%	TTB	88.2%	878.8%
	QoQ	-22.6%	-4.7%	83.5%	120.7%	203.0%	59.1%	12.2%	9.3%	-	-	-
NAND	Sales	6,772	7,623	8,540	10,819	22,407	37,458	42,773	49,966	32,483	33,754	152,604
	YoY	-7.8%	-12.5%	2.6%	33.5%	230.9%	391.4%	400.9%	361.8%	93.0%	3.9%	352.1%
	QoQ	-16.4%	12.6%	12.0%	26.7%	107.1%	67.2%	14.2%	16.8%	-	-	-
Bit shipments	*QoQ*	*-10.0%*	*29.0%*	*10.0%*	*-8.0%*	*9.0%*	*1.0%*	*7.0%*	*7.0%*	-	-	-
ASP	*QoQ*	*-10.0%*	*-8.0%*	*4.0%*	*29.0%*	*90.0%*	*60.0%*	*16.0%*	*8.0%*	-	-	-
	OP	(3)	(229)	459	1,941	9,936	21,225	25,424	30,099	5,221	2,168	86,684
	OPM (%)	-0.1%	-3.0%	8.0%	17.9%	44.3%	56.7%	59.4%	60.2%	16.1%	6.4%	56.8%
	YoY	TTR	TTR	-72.4%	432.2%	TTB	TTB	5433.3%	1450.8%	TTB	-58.5%	3897.7%
	QoQ	TTR	RR	TTB	322.4%	411.9%	113.6%	19.8%	18.4%	-	-	-

Note: TTB = turn to black, TTR = turn to red, RR = remain in red
Source: Yuanta Securities

Samsung Electronics: target price calculation											(won, x)
	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E
Adj BPS (excl non-controlling int)	28,971	35,342	37,528	39,406	43,611	50,817	52,002	57,930	63,976	114,658	**179,148**
P/B (End)	1.76	1.10	1.49	2.06	1.80	1.09	1.51	0.92	1.87	2.21	1.42
P/B (High)	1.99	1.53	1.53	2.06	2.22	1.57	1.51	1.53	1.89	3.27	2.09
P/B (Low)	1.23	1.08	0.98	1.07	1.57	1.02	1.05	0.86	0.79	1.05	0.67
P/B (Avg)	1.60	1.33	1.24	1.45	1.82	1.26	1.30	1.24	1.12	2.05	1.31
Target P/B											**3.5**
Target price										**630,000**	627,016
Close price (Sep 22)										276,500	
Upside potential										**128%**	

Source: Yuanta Securities

Samsung Electronics memory business: peer earnings and valuations **(Wbn, $mn)**

	Company	Samsung Electronics	SK Hynix	Micron	Western Digital	Sandisk	Nanya
	Ticker	005930 KS	000660 KS	MU US	WDC US	SNDK US	2408 TT
	Market price	1,601,880	1,364,560	1,179,041	154,476	258,670	56,069
2023A	Sales	258,935	32,766	15,540	12,318	6,086	959
	OP	6,567	-7,730	-5,745	-1,285	-2,035	-464
	OPM	3%	-24%	-37%	-10%	-33%	-48%
	Net profit	14,473	-9,112	-5,833	-1,684	-2,143	-239
	P/E (x)	36.8	-	-	-	-	-
	P/B (x)	1.3	1.8	1.7	1.1	-	1.4
	ROE (%)	3.6	-15.6	-12.4	-14.8	-	-4.3
	EV/EBITDA (x)	8.8	20.4	32.6	-	-	229.4
2024A	Sales	300,871	66,193	25,111	6,317	6,663	1,063
	OP	32,726	23,467	1,304	-403	-468	-329
	OPM	11%	35%	5%	-6%	-7%	-31%
	Net profit	33,621	19,789	778	-798	-672	-158
	P/E (x)	10.7	6.1	134.3	-	-	-
	P/B (x)	0.8	1.6	2.3	2.4	-	0.5
	ROE (%)	7.9	31.1	1.7	-7.9	0.0	-3.1
	EV/EBITDA (x)	3.1	3.6	12.3	43.9	-	10.5
2025A	Sales	333,606	97,147	37,378	9,520	7,355	2,142
	OP	43,601	47,206	9,770	2,334	-1,377	169
	OPM	13%	49%	26%	25%	-19%	8%
	Net profit	44,261	42,919	8,539	1,889	-1,641	213
	P/E (x)	18.2	10.5	15.8	13.1	27.8	90.6
	P/B (x)	1.7	3.8	2.5	4.2	0.7	3.5
	ROE (%)	9.5	44.2	17.2	23.0	-16.2	3.9
	EV/EBITDA (x)	6.8	7.3	7.6	9.4	11.2	28.9
2026E	Sales	725,329	347,557	129,507	19,125	48,825	11,565
	OP	379,686	269,023	98,661	9,601	38,791	8,715
	OPM	52%	77%	76%	50%	79%	75%
	Net profit	303,688	252,987	83,735	8,015	33,032	7,182
	P/E (x)	5.8	5.4	14.3	22.4	8.3	7.6
	P/B (x)	2.5	3.5	8.8	13.0	7.3	4.3
	ROE (%)	52.4	100.4	76.7	73.2	97.3	73.5
	EV/EBITDA (x)	3.3	4.6	10.7	15.1	6.4	5.3
2027E	Sales	970,192	539,846	251,559	26,361	58,641	17,939
	OP	566,349	424,835	208,944	15,481	45,984	14,161
	OPM	58%	79%	83%	59%	78%	79%
	Net profit	448,785	341,376	178,586	12,872	39,317	11,430
	P/E (x)	3.9	4.0	6.8	13.9	6.8	4.8
	P/B (x)	1.6	2.0	4.1	9.1	4.3	2.4
	ROE (%)	48.9	62.9	75.4	91.3	56.7	60.8
	EV/EBITDA (x)	2.3	2.9	5.4	9.8	5.4	3.3

Note: based on fiscal year; as of Sep 22, 2026; source: Bloomberg, Yuanta Securities

Samsung Electronics LSI/Foundry business: peer earnings and valuation **(Wbn, $mn)**

	Company	Samsung Electronics	MediaTek	Qualcomm	TSMC	UMC	SMIC	Intel
	Ticker	005930 KS	2454 TT Equity	QCOM US	2330 TT	2303 TT	688981 CH	INTC US
	Market cap	1,601,880	253,238	203,942	2,025,456	62,154	96,729	643,616
2023A	Sales	258,935	13,907	35,820	69,358	7,140	6,322	54,228
	OP	6,567	2,304	7,788	29,564	1,857	358	93
	OPM	3%	17%	22%	43%	26%	6%	0%
	Net profit	14,473	2,470	7,232	26,903	1,957	903	1,689
	P/E (x)	36.8	20.9	14.5	18.3	10.7	23.2	139.4
	P/B (x)	1.3	4.4	5.6	4.4	1.8	1.0	2.0
	ROE (%)	3.6	19.0	36.5	26.2	17.6	4.6	-
	EV/EBITDA (x)	8.8	16.2	11.5	10.1	6.1	14.7	24.4
2024A	Sales	300,871	16,518	38,962	90,106	7,232	8,030	53,101
	OP	32,726	3,188	10,071	41,157	1,607	474	-11,678
	OPM	11%	19%	26%	46%	22%	6%	-22%
	Net profit	33,621	3,312	10,142	36,526	1,470	493	-18,756
	P/E (x)	10.7	21.1	20.5	23.8	11.3	81.7	-
	P/B (x)	0.8	5.7	7.2	6.5	1.4	1.6	0.9
	ROE (%)	7.9	27.8	42.4	30.3	12.8	2.4	-18.3
	EV/EBITDA (x)	3.1	16.7	15.5	13.4	5.1	18.5	19.1
2025A	Sales	333,606	19,175	44,284	122,556	7,643	9,327	52,853
	OP	43,601	3,329	12,355	62,293	1,414	1,110	-2,214
	OPM	13%	17%	28%	51%	19%	12%	-4%
	Net profit	44,261	3,389	5,541	55,273	1,342	685	-267
	P/E (x)	18.2	21.6	16.7	23.4	14.7	104.3	1,571.7
	P/B (x)	1.7	5.7	8.6	7.4	1.6	3.4	1.6
	ROE (%)	9.5	26.4	23.3	35.4	11.0	3.3	-0.3
	EV/EBITDA (x)	6.8	16.3	12.9	14.6	5.5	22.3	15.8
2026E	Sales	725,329	20,903	42,930	170,591	8,894	11,824	63,050
	OP	379,686	3,369	13,209	99,253	2,045	1,807	9,846
	OPM	52%	16%	31%	58%	23%	15%	16%
	Net profit	303,688	3,421	11,366	86,810	2,803	1,340	7,777
	P/E (x)	5.8	73.3	18.5	23.1	22.3	113.2	79.4
	P/B (x)	2.5	18.2	7.6	8.4	4.5	6.2	5.7
	ROE (%)	52.4	26.1	46.9	41.1	20.5	5.5	5.4
	EV/EBITDA (x)	3.3	59.3	14.2	15.5	14.5	17.8	30.9
2027E	Sales	970,192	36,235	45,154	230,020	11,006	14,182	72,818
	OP	566,349	7,666	12,053	133,491	3,115	2,394	13,608
	OPM	58%	21%	27%	58%	28%	17%	19%
	Net profit	448,785	7,098	10,562	114,963	2,867	1,725	11,123
	P/E (x)	3.9	35.7	19.2	17.6	21.6	89.6	58.9
	P/B (x)	1.6	14.2	8.1	6.1	4.1	5.8	5.0
	ROE (%)	48.9	45.5	35.2	40.0	19.8	6.5	9.0
	EV/EBITDA (x)	2.3	27.5	16.1	11.5	11.4	14.9	25.5

Note: based on fiscal year, as of Sep 22, 2026; source: Bloomberg, Yuanta Securities

Samsung Electronics DX business: peer earnings and valuation **(Wbn, $mn)**

	Company	Samsung Electronics	LG Electronics	Apple	Xiaomi	ZTE	Whirlpool	HAIER	Electrolux
	Ticker	005930 KS	066570 KS	AAPL US	1810 HK	000063 CH	WHR US	600690 CH	ELUXB SS
	Market cap	1,601,880	32,984	4,947,135	90,556	22,214	2,128	26,114	2,181
2023A	Sales	258,935	82,263	383,285	38,265	17,546	19,455	38,721	12,681
	OP	6,567	3,653	114,301	2,779	1,322	1,015	2,684	-282
	OPM	3%	4%	30%	7%	8%	5%	7%	-2%
	Net profit	14,473	713	96,995	2,468	1,317	481	2,344	-493
	P/E (x)	36.8	22.4	27.9	20.3	8.1	11.6	11.7	-
	P/B (x)	1.3	0.8	42.8	2.2	1.1	2.8	2.0	2.6
	ROE (%)	3.6	3.3	171.9	11.4	14.7	20.5	17.0	-37.7
	EV/EBITDA (x)	8.8	3.8	20.5	12.8	7.7	7.6	6.5	251.5
2024A	Sales	300,871	87,728	391,035	50,823	16,848	16,607	39,725	12,880
	OP	32,726	3,420	123,216	3,409	1,245	142	3,015	104
	OPM	11%	4%	32%	7%	7%	1%	8%	1%
	Net profit	33,621	368	93,736	3,286	1,170	-323	2,602	-132
	P/E (x)	10.7	23.2	33.8	34.1	13.0	18.1	14.1	-
	P/B (x)	0.8	0.7	60.5	4.3	1.5	2.4	2.4	2.6
	ROE (%)	7.9	1.6	157.4	13.4	12.0	-12.8	17.6	-13.3
	EV/EBITDA (x)	3.1	3.7	24.9	25.0	13.3	8.9	8.1	8.0
2025A	Sales	333,606	89,201	416,161	63,650	18,637	15,524	42,081	13,422
	OP	43,601	2,478	133,050	6,609	791	838	3,045	374
	OPM	13%	3%	32%	10%	4%	5%	7%	3%
	Net profit	44,261	961	112,010	5,796	782	318	2,722	90
	P/E (x)	18.2	17.1	34.2	21.8	20.8	17.5	12.3	19.6
	P/B (x)	1.7	0.6	51.2	3.4	1.5	1.5	2.1	2.0
	ROE (%)	9.5	3.9	171.4	18.3	7.6	11.8	17.0	9.5
	EV/EBITDA (x)	6.8	4.1	25.6	19.8	18.5	8.3	7.6	5.1
2026E	Sales	725,329	96,410	477,905	65,448	22,197	14,872	45,857	13,355
	OP	379,686	4,604	156,604	4,134	833	544	3,423	296
	OPM	52%	5%	33%	6%	4%	4%	7%	2%
	Net profit	303,688	2,333	129,941	3,826	865	121	2,882	-79
	P/E (x)	5.8	14.8	38.4	23.5	27.1	19.1	9.6	12.8
	P/B (x)	2.5	1.3	47.7	2.1	2.0	0.5	1.5	1.1
	ROE (%)	52.4	9.1	136.8	8.8	7.1	2.7	15.3	-3.5
	EV/EBITDA (x)	3.3	5.1	28.5	16.7	17.7	10.0	6.0	5.7
2027E	Sales	970,192	101,348	524,468	77,403	24,914	15,412	48,029	13,970
	OP	566,349	4,985	166,395	5,195	960	731	3,713	497
	OPM	58%	5%	32%	7%	4%	5%	8%	4%
	Net profit	448,785	2,875	138,803	5,075	1,041	224	3,133	244
	P/E (x)	3.9	12.0	35.2	18.1	22.7	9.9	8.9	8.3
	P/B (x)	1.6	1.2	34.7	1.9	1.9	0.5	1.4	1.1
	ROE (%)	48.9	9.9	116.3	10.2	8.4	5.1	15.4	13.7
	EV/EBITDA (x)	2.3	4.9	26.7	12.9	15.8	8.3	5.6	4.2

Note: based on fiscal year, as of Sep 22, 2026; source: Bloomberg, Yuanta Securities

Samsung Electronics SDC/Harman business: peer earnings and valuation **(Wbn, $mn)**

	Company	Samsung Electronics	LG Display	BOE	Continental
	Ticker	005930 KS	A034220	000725 CH	CON GR
	Market cap	1,601,880	4,260	33,420	15,816
2023A	Sales	258,935	21,331	24,648	44,798
	OP	6,567	-2,510	262	1,955
	OPM	3%	-12%	1%	4%
	Net profit	14,473	-2,734	360	1,251
	P/E (x)	36.8	-	38.5	13.3
	P/B (x)	1.3	0.6	0.7	1.1
	ROE (%)	3.6	-32.0	1.9	8.6
	EV/EBITDA (x)	8.8	11.5	7.9	5.3
2024A	Sales	300,871	26,615	27,554	21,719
	OP	32,726	-561	930	2,205
	OPM	11%	-2%	3%	10%
	Net profit	33,621	-2,563	739	1,264
	P/E (x)	10.7	-	18.3	9.8
	P/B (x)	0.8	0.7	0.7	0.9
	ROE (%)	7.9	-37.2	4.1	8.3
	EV/EBITDA (x)	3.1	4.1	6.9	5.3
2025A	Sales	333,606	25,810	28,477	22,242
	OP	43,601	517	1,109	295
	OPM	13%	2%	4%	1%
	Net profit	44,261	226	815	-187
	P/E (x)	18.2	26.2	16.2	-
	P/B (x)	1.7	0.9	0.7	3.5
	ROE (%)	9.5	3.4	4.4	-1.8
	EV/EBITDA (x)	6.8	3.8	5.2	7.9
2026E	Sales	725,329	24,935	32,762	18,668
	OP	379,686	957	1,431	2,223
	OPM	52%	4%	4%	12%
	Net profit	303,688	-89	1,252	1,330
	P/E (x)	5.8	-	27.0	11.5
	P/B (x)	2.5	0.6	1.6	2.9
	ROE (%)	52.4	-1.1	6.0	26.5
	EV/EBITDA (x)	3.3	3.8	7.7	7.1
2027E	Sales	970,192	25,727	35,856	18,787
	OP	566,349	1,289	1,999	2,416
	OPM	58%	5%	6%	13%
	Net profit	448,785	713	1,716	1,513
	P/E (x)	3.9	6.2	19.6	10.1
	P/B (x)	1.6	0.5	1.5	2.7
	ROE (%)	48.9	10.0	7.5	28.7
	EV/EBITDA (x)	2.3	3.7	7.0	6.6

Note: based on fiscal year, as of Sep 22, 2026; source: Bloomberg, Yuanta Securities

Samsung Electronics (005930 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**300,871**	**333,606**	**745,987**	**1,193,508**	**1,312,859**
Cost of sales	186,562	202,236	242,709	366,011	406,986
Gross profit	114,309	131,370	503,278	827,498	905,873
SG&A	81,583	87,769	144,793	237,006	262,572
Operating profit	**32,726**	**43,601**	**358,485**	**590,492**	**643,301**
EBITDA	75,357	90,528	409,976	636,290	680,652
Non-operating profit	4,804	5,880	13,001	24,613	42,699
Forex gains	-363	16	1,624	935	935
Net interest income	3,915	3,987	6,570	19,501	37,586
Equity-method gains	751	683	962	956	956
Other	501	1,194	3,845	3,222	3,222
Net prof before income tax	37,530	49,481	371,486	615,105	686,000
Income tax	3,078	4,275	88,973	184,532	171,500
Net profit from continuing ops	34,451	45,207	282,513	430,574	514,500
Net profit from discontinued ops	0	0	0	0	0
Net profit	34,451	45,207	282,513	430,574	514,500
NP for controlling interest	**33,621**	**44,261**	**281,223**	**428,440**	**511,950**
Total comprehensive income	51,296	51,291	315,588	441,890	525,817
Total comprehensive income, CI	50,048	49,904	310,265	433,844	516,243

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**227,062**	**247,685**	**552,470**	**1,092,696**	**1,664,367**
Cash & cash equivalents	53,706	57,856	163,162	515,190	1,033,957
Accounts receivables & other	53,246	58,609	142,668	211,645	227,967
Inventory	51,755	52,637	55,368	82,137	90,350
Non-current assets	287,470	319,257	397,730	368,140	335,762
Tangible assets	205,945	215,305	224,966	182,295	147,719
Investment in affiliates	12,592	13,772	33,525	49,733	54,706
Other investment assets	11,757	17,576	39,348	39,348	39,348
Total assets	**514,532**	**566,942**	**950,200**	**1,460,836**	**2,000,129**
Current liabilities	93,326	106,411	140,674	201,474	220,130
Accounts payable & other	61,523	68,114	78,182	115,981	127,579
ST financial liabilities	13,173	17,575	13,710	13,710	13,710
Liquid LT liabilities	2,207	1,178	1,206	1,206	1,206
Non-current liabilities	19,014	24,210	46,656	65,591	71,401
LT financial liabilities	7	2,806	3,606	3,606	3,606
Debentures	15	7	8	8	8
Total liabilities	**112,340**	**130,622**	**187,330**	**267,066**	**291,531**
Equity, controlling interest	391,688	424,313	747,813	1,176,580	1,688,858
Paid-in capital	898	898	898	898	898
Capital surplus	4,404	4,404	4,404	4,404	4,404
Retained earnings	370,513	402,136	667,077	1,084,527	1,585,488
Equity, non-controlling interest	10,504	12,007	15,056	17,190	19,740
Total equity	**402,192**	**436,320**	**762,869**	**1,193,770**	**1,708,598**
Net debt	**-93,322**	**-100,608**	**-306,242**	**-738,258**	**-1,281,568**
Total debt	19,330	25,239	22,409	22,409	22,409

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**72,983**	**85,315**	**376,244**	**549,455**	**680,280**
Net profit	34,451	45,207	282,513	430,574	514,500
Depreciation & amortization	39,650	43,606	48,000	42,670	34,577
Forex gains	0	0	-178	-935	-935
Affiliate investment gains	-751	-683	-962	-956	-956
Increase in net working cap	-1,568	-9,614	-13,317	32,730	88,075
Other	1,200	6,799	60,188	45,372	45,019
Investing cash flow	**-85,382**	**-68,512**	**-200,329**	**-91,249**	**-24,570**
Investment	1,075	411	-19,078	-16,208	-4,973
Increase in tangible assets	-51,406	-47,522	-56,235	0	0
Decrease in tangible assets	156	150	153	0	0
Other	-35,207	-21,551	-125,170	-75,041	-19,597
Financing cash flow	**-7,797**	**-13,478**	**-28,214**	**-10,989**	**-10,989**
ST financial liabilities	6,058	4,402	-3,865	0	0
Debenture/LT financial liabilities	586	1,506	1,034	0	0
Equity	0	0	0	0	0
Cash dividend	-10,889	-9,897	-11,096	-10,989	-10,989
Other cash flow	-3,553	-9,490	-14,287	0	0
Consolidation adj and other	4,821	826	-42,396	-95,189	-125,954
Increase in cash & equivalents	**-15,375**	**4,151**	**105,306**	**352,028**	**518,767**
Beginning cash & equivalents	69,081	53,706	57,856	163,162	515,190
Ending cash & equivalents	53,706	57,856	163,162	515,190	1,033,957
NOPLAT	32,726	43,601	**358,485**	**590,492**	**643,301**
FCF	**21,576**	**37,793**	**320,009**	**549,455**	**680,280**

Valuation

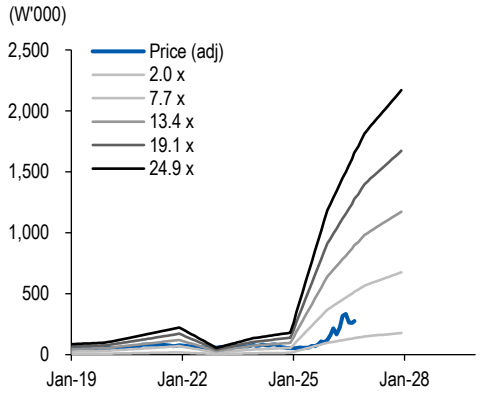
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	5,433	7,241	47,721	73,053	87,338
BPS (won)	57,981	63,997	114,467	180,099	258,513
EBITDA/shr (won)	11,094	13,425	61,460	95,702	102,374
SPS (won)	44,293	49,471	111,832	179,511	197,463
DPS (won)	1,446	1,668	1,682	1,682	1,682
P/E (x)	**13.2**	**9.9**	**5.8**	**3.8**	**3.2**
P/B (x)	**1.2**	**1.1**	**2.4**	**1.5**	**1.1**
EV/EBITDA (x)	**5.2**	**4.2**	**3.6**	**1.7**	**0.8**
P/S (x)	**1.6**	**1.4**	**2.5**	**1.5**	**1.4**

Key financial data

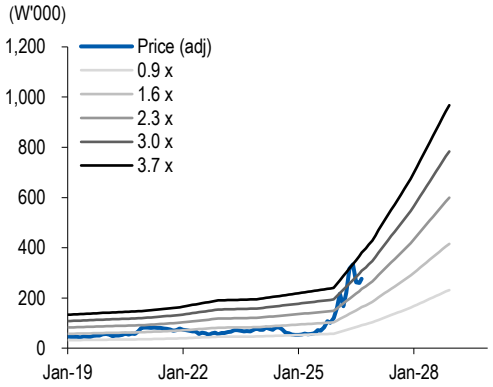
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**16.2**	**10.9**	**123.6**	**60.0**	**10.0**
Operating profit (%YoY)	**398.3**	**33.2**	**722.2**	**64.7**	**8.9**
Net profit, CI (%YoY)	**132.3**	**31.6**	**535.4**	**52.3**	**19.5**
Gross margin (%)	38.0	39.4	67.5	69.3	69.0
Operating margin (%)	**10.9**	**13.1**	**48.1**	**49.5**	**49.0**
Net margin, CI (%)	11.2	13.3	37.7	35.9	39.0
EBITDA margin (%)	25.0	27.1	55.0	53.3	51.8
ROIC (%)	11.7	14.6	88.7	117.8	142.6
ROA (%)	6.9	8.2	37.1	35.5	29.6
ROE (%)	**9.0**	**10.8**	**48.0**	**44.5**	**35.7**
Debt-to-equity (%)	27.9	29.9	24.6	22.4	17.1
Net debt-to-equity (%)	-23.8	-23.7	-41.0	-62.7	-75.9
OP/financing cost (x)	36.2	72.0	435.0	845.1	920.7

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

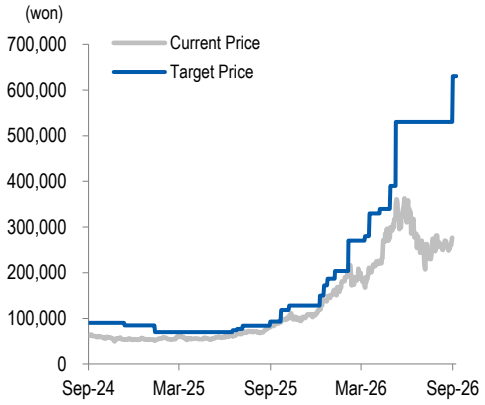
P/E band chart



P/B band chart



Samsung Electronics (005930 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/23	BUY	630,000	1 yr		
2026/06/01	BUY	530,000	1 yr	-47.30	-31.60
2026/05/21	BUY	390,000	1 yr	-22.31	-18.72
2026/04/30	BUY	340,000	1 yr	-19.46	-12.94
2026/04/09	BUY	330,000	1 yr	-34.51	-31.52
2026/03/31	BUY	280,000	1 yr	-31.29	-24.82
2026/02/26	BUY	270,000	1 yr	-29.83	-19.81
2026/01/30	BUY	204,000	1 yr	-13.68	-0.25
2026/01/15	BUY	187,000	1 yr	-18.07	-13.16
2025/10/30	BUY	128,000	1 yr	-18.07	-6.33

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Sep 23, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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